

TERM SHEET FOR SERIES A PREFERRED STOCK FINANCING

Term Sheet · Parties: Party A, Party B

65

High Risk Score

Generated 5/12/2026

⚠ Synth is not legal advice or financial advice. It is a document review aid. Consult a qualified professional before making decisions.

Executive Summary

This Term Sheet has been reviewed by Synth in mock mode. The document contains several clauses that warrant attention, including payment terms, termination provisions, and liability limitations. This is a demonstration analysis using mock data — no actual AI analysis was performed. Review all findings with a qualified professional.

Key Terms

Field	Value
Payment Terms	See document — payment terms detected but mock mode is active. Run with an AI provider for full extraction.

Renewal Terms	Auto-renewal terms detected. See document for specific notice periods.
Termination	Termination provisions present. See document for cure periods and notice requirements.
Governing Law	See document for governing law and dispute resolution provisions.
Liability	Liability cap clauses detected. Caps may be significantly below potential damages. Verify with counsel.
Indemnification	Indemnification provisions present. Review scope and carve-outs with legal counsel.
Confidentiality	Confidentiality obligations present. Duration and scope require review.

Key Dates

Date	Description
See document	Effective Date
See document	Initial Term End

Risk Matrix

High Unilateral Modification Rights

Why it matters: Material terms could change after signing without recourse.

Provider may be able to modify terms without customer consent.

"See document for specific language — mock mode active."

Suggested next step: Request a mutual written amendment requirement.

High Limited Liability Cap

Why it matters: Company may have no meaningful recourse for serious failures.

Liability may be capped at a small fraction of potential damages.

"See document — mock mode active."

Suggested next step: Negotiate a higher cap and carve-outs for willful misconduct.

Medium **Auto-Renewal with Short Notice**

Why it matters: Missing the notice window locks in another full term.

Agreement auto-renews unless cancelled within a specific window.

"See document — mock mode active."

Suggested next step: Calendar the cancellation deadline immediately.

Missing & Unusual Clauses

Missing Clauses

- Force majeure clause (not clearly present)
- Data processing agreement / GDPR addendum
- SLA / uptime guarantees

Unusual Clauses

- Unilateral modification rights may allow changes without consent
- Review auto-renewal notice window carefully

Action Items

1. Review all payment and fee terms with finance team
2. Calendar all notice and cancellation deadlines
3. Have legal counsel review liability and indemnification provisions
4. Request data processing agreement if applicable
5. Verify governing law is acceptable for your jurisdiction

Citations

Mock Mode Notice

"This analysis was generated in mock mode. No AI provider was used."

All findings are illustrative only. Run with a real provider for document-specific analysis.

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